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Illustration 3

Enter the following transactions in a cash book with cash and discount columns:

		`
2017		
Jan 1	Cash in hand	11,500
Jan 5	Paid to Ramanathan by depositing in cash deposit machine	300
	Discount allowed by him	10
Jan 8	Purchased goods for cash	400
Jan 10	Cash received from Rajagopal	980
	Discount allowed	20
Jan 15	Sold goods for cash	400
Jan 21	Paid cash to Shanthi	295
	Discount received	5
Jan 25	Paid wages by cash	50
Jan 31	Paid to Sanjeev ` 390 in full settlement of his account	400

Solution

Dr. **Cash book with cash and discount columns** **Cr.**

Date	Receipts	L.F	Amount `		Date	Payments	L.F.	Amount `	
			Discount	Cash				Discount	Cash
2017					2017				
Jan 1	To Balance b/d			11,500	Jan 5	By Ramanathan A/c		10	300
10	To Rajagopal A/c		20	980	8	By Purchases A/c			400
15	To Sales A/c			400	21	By Shanthi A/c		5	295
					25	By Wages A/c			50
					31	By Sanjeev A/c		10	390
					31	By Balance c/d			**11,445**
			20	12,880				25	12,880
Feb 1	To Balance b/d			**11,445**					

Note: Discount column is not to be balanced.

7.8.2 Posting from double column cash book

Following is the procedure for posting entries from double column cash book:

(a) Cash columns: Debit the accounts mentioned on the credit side and the credit is to Cash A/c with the amount mentioned in cash column; credit the accounts mentioned on the debit side and the debit is for Cash A/c with the amount mentioned in cash column.